

Want to Shop? Just Chat with Your AI Agent

Conversational commerce will transform the way we shop online.

The AI/ML era started way back in 1950. Traditional AI systems learnt and identified patterns based on structured and labelled data, tried to find similar patterns, and predicted outcomes based on this learning. An example is the hotel revenue management system that learnt from past data to predict the price of a room.

The generative AI era started around 2015. As the name suggests, it is used to generate new content – text, image, audio or video. Generative AI learns from large data sets and relies on large language models (LLMs) to generate new content. An example is ChatGPT giving a detailed 5-day itinerary for a London trip to a traveller.

The modern agentic system era started in early 2020. Agentic AI systems are autonomous systems that understand the goal, make decisions to fulfil it, and take steps to complete the action. Agentic AI combines generative AI with reasoning to build a fully autonomous system that can complete complex tasks. For example, agentic AI can book flights, hotels and a cab for our London traveller. It can also monitor disruptions before or during the trip and adjust the bookings accordingly.

Agentic systems are unlocking significant capabilities that are transforming industries. One such innovation is conversational commerce.

What is conversational commerce?

Traditional e-commerce platforms have been around for decades. They may have expanded their presence across a range of domains but the traditional shopping experience on these platforms has remained the same over all these years. Merchants register their inventory on each platform, shoppers search for what they want, and the platform returns results accordingly. Shoppers then apply filters to further narrow down the products to match their needs.

Machine learning (ML) based recommendation systems were built to suggest products based on shoppers' purchase history. But shoppers still need to explore each of these

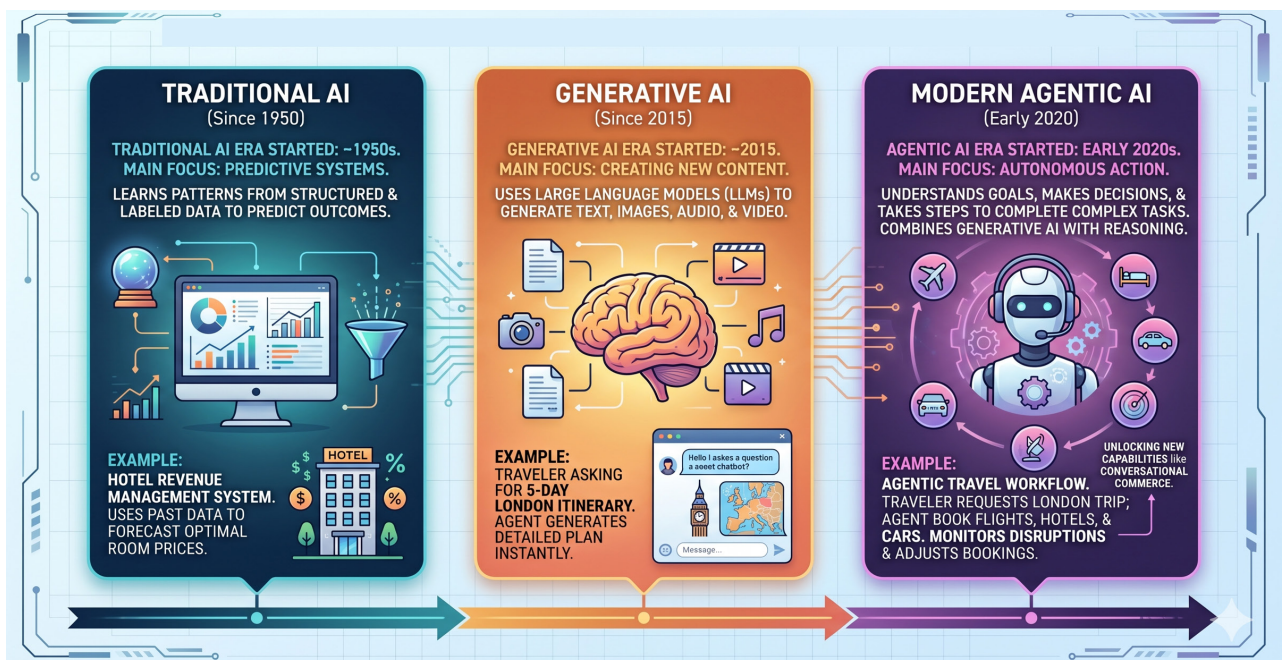


Figure 1: Evolution of AI: From prediction to autonomous action